Rajputana Stainless Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Gujarat maker of stainless steel long products (round, hex and square bars) from scrap, melting, casting, rolling and finishing under one roof at Kalol. Everything is made to order in over 80 grades for forging, pipe, engineering, oil and gas, auto, aerospace and defence customers. Listed on NSE and BSE main boards in March 2026.

Number	Value	What it means
Market cap	Rs 1,403 cr	What the market says the whole company is worth.
Q2 FY27 revenue	Rs 360 cr	Sales for the quarter to Sep 2026, up 33% on a year ago and 17% on June.
Q2 FY27 EBITDA	Rs 33.4 cr at 9.3%	Operating profit per Rs 100 of sales is about Rs 9; thin, as usual for a metal converter, but up from about 5% in FY21.
Q2 FY27 profit	Rs 23.7 cr	Up 79% on a year ago, helped by lower interest after the IPO paid off debt.
Debt	Nil (since April 2026)	IPO money repaid borrowings, so interest costs are falling away.
Stock P/E	20.2x	Middling price for a metal business growing this fast.

2. Concall coverage

Quarter	Date	Transcript read?
Q2 FY27 (maiden call)	3 Nov 2026	Yes, read in full ★

This is the company's first ever earnings call, held seven months after listing. Only one call exists, so the consistency read is very limited and leans on what was promised at the IPO.

Latest concall highlights: Q2 FY27 (call held 3 Nov 2026)

- Revenue up 33% to Rs 360 cr and profit up 79% to Rs 23.7 cr. Volumes were flat because the plant is full; growth came from costlier specialty grades.
- Order book about Rs 500 cr, roughly four months of work, including over Rs 80 cr of aerospace and defence orders.
- Melting capacity going from 48,000 to 60,000 tonnes in Q4 FY27, funded from internal cash.
- Captive solar to cut power cost from 1 Jan 2027, wind from March; together about 80% of power needs.
- Seamless pipe plant (IPO-funded, Rs 18.57 cr unused) is late: management is waiting for better machinery. Operating cash flow was only about Rs 4.5 cr in H1 against Rs 43.9 cr of profit, as receivables jumped with the shift to big direct customers like BHEL and L&T.

Business mix & capacity

Domestic vs export: Direct exports are small; much of the steel is exported indirectly by pipe-making customers (e.g. Venus Pipes). About 39% of scrap is imported.

Capacity use: Melting 99%, rolling 99.45%, bright bars about 60%. The plant is full, so volume growth waits for the 60,000 tonne expansion in Q4 FY27.

3. Earning Trigger thesis

Management's story is a richer mix on a full plant: more specialty and aerospace-defence grades lift revenue per tonne, then a 25% capacity step-up in Q4 FY27, cheaper captive power from January 2027, and later a seamless pipe plant to sell a finished product to end users. The mix shift is already showing in revenue; the rest is still ahead.

Trigger	What management said	Evidence so far	Time horizon	Strength
Specialty grade mix	Moving from commodity grades to costlier specialty and duplex grades	Revenue up a third on flat volumes	Now	Moderate: showing in revenue, not much in margin yet
Melting capacity to 60,000 t	Q4 FY27	Not yet commissioned	Q4 FY27	Unproven
Captive solar and wind	Solar from 1 Jan 2027, wind by March	Not yet live	Q4 FY27	Moderate
Seamless pipe plant	Will sell direct to end users; 80% use in first year targeted	Delayed, machinery not yet ordered	FY28+	Weak: already late
Aerospace and defence	Rs 80 cr+ orders; certified; early foreign defence orders	In order book	1-3 yrs	Moderate

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	Yes	"We used our IPO proceeds to repay our debt. We officially became the debt-free company in April." (3 Nov 2026)
New business	Yes	Entering seamless pipes to sell directly to end users (3 Nov 2026)
Margin up	Yes	EBITDA margin up to 9.3% from 9%; CEO expects margins to keep improving over three to four quarters (3 Nov 2026)
New management	No	
New capacity	Yes	Melting capacity from 48,000 t to 60,000 t in Q4 FY27; solar plant live from 1 Jan 2027 (3 Nov 2026)
Big orders	Yes	Order book about Rs 500 cr, over Rs 80 cr in aerospace and defence (3 Nov 2026)
Turnaround	No	
Promoter buying	No	

The single concrete driver: A full plant shifting to costlier specialty and aerospace-defence grades, with a 25% melting expansion and captive solar power both due in Q4 FY27.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
IPO (Mar 2026)	Repay debt with IPO money	Debt-free from April 2026	Delivered
IPO (Mar 2026)	Seamless pipe plant from IPO funds	Rs 18.57 cr still unused; machinery choice reopened	Missed
Q2 FY27	Capacity to 60,000 t in Q4 FY27	Too early	Too-early
Q2 FY27	Solar live 1 Jan 2027	Too early	Too-early

Narrative drift: Only one call, so no drift can be judged yet. The tone was very upbeat with few numbers behind the big claims ("flooded with inquiries"). The seamless pipe delay and the weak cash conversion are the two things to watch.

5. Bottom line

Durable earning trigger? → MAYBE

There is a real, near-dated driver: a full plant, a richer grade mix already lifting revenue, and both new melting capacity and captive power due within a quarter. But margins have barely moved, cash isn't coming in, and the bigger seamless pipe idea is late before it has started.

Management consistent? → MAYBE

One call is too little to judge. The debt promise from the IPO was kept, but the IPO-funded pipe plant has slipped and answers on cash flow and receivables were vague.

6. Checkpoints for next quarter

- Melting capacity of 60,000 tonnes is running by the March quarter
- Captive solar is live and power cost falls from January
- Operating cash flow catches up with profit in the second half

This is not investment advice. Do your own due diligence.